



FRANCHISEDEPTH

The FDD Buyer's Checklist

A no-fluff guide to reading Franchise Disclosure Documents before you invest.

This guide is for educational purposes only. It is not legal, financial, or investment advice. Always consult a franchise attorney and a financial advisor before signing any agreement or transferring any funds.

2026 Edition
By FranchiseDepth.com

Real data from 120+ FDDs
franchisedepth.com

What an FDD is, and why most buyers don't actually read it

What is a Franchise Disclosure Document?

A Franchise Disclosure Document (FDD) is the legal document a franchisor is required to deliver to every prospective franchisee before they sign anything or pay any money. It exists because of an FTC rule — **16 CFR Part 436** — and it has to be in your hands at least **14 calendar days** before you commit. That 14-day window is your due-diligence period, and it is not optional on the franchisor's side.

Every FDD follows the same 23-item structure. That structure is the point. It exists so that you can compare a 2,500-unit national brand to a 12-unit regional concept on the same terms — same sections, same disclosures, same definitions. The FDD is the only document in franchise sales that is standardized this way, which is exactly why reading it carefully gives you a real edge.

Why this matters

The typical FDD runs 200 to 400 pages. Most buyers skim the front (Items 1–4, the franchisor history) and then jump to the franchise agreement at the back. That's a mistake. The economic story of a franchise — what it actually costs to open, what franchisees actually earn, and how many of them quit — lives in the middle, in **Items 5, 6, 7, 19, 20, and 21**. Those are the sections this checklist is built to help you read.

About 30% of FDDs include no financial performance representation at all. Among those that do, the difference between an honest disclosure and a cherry-picked one is the difference between a good investment and a regret. We'll show you how to tell which is which.

The five sections to read carefully

- **Item 5 — Initial fees.** What you pay the franchisor up front. Look for tiered fees, multi-unit discounts, and veteran/military credits.
- **Item 6 — Other fees.** Royalty, marketing/brand fund, technology fee, transfer fee, renewal fee, audit fees, and every other recurring cost. This section is where the long-term economics live.
- **Item 7 — Estimated initial investment.** The total range to open, including franchise fee, real estate, equipment, build-out, opening inventory, and working capital. Always read the *high* number, not the low.
- **Item 19 — Financial Performance Representations.** What franchisees actually earn. The single most-skipped, highest-value section of the document.
- **Item 20 — Outlets and franchisee information.** Open/close/transfer counts by year and by state, plus a contact list for current and recently-departed franchisees.

Bottom line: if a franchisor cannot or will not back up its sales pitch with the numbers in Items 19 and 20, the pitch is the only thing it has.

7 red flags in the Financial Performance Representation

Item 19 is where franchisors disclose what franchisees earn — or where they admit they aren't going to tell you. The patterns below show up across hundreds of FDDs in our database. Any one of them is a yellow flag. Two or more in the same document is a stop sign.

RED FLAG #1

No Item 19 at all

About 30% of FDDs include no FPR. It's their legal right — but it leaves you with no disclosed benchmark for what franchisees actually earn. The cleanest version is a flat statement: *"We do not make any representations about a franchisee's future financial performance."*

What to ask: Why don't you share earnings data? Will you in writing, today?

RED FLAG #2

Cherry-picked subset of franchisees

Watch for sentences like *"the top 25% of franchisees averaged \$1.2M in revenue."* The math here is honest — but the framing isn't. The 75% you didn't see did something much less impressive.

How to verify: Find the footnote that says *"the number of franchisees included in this calculation: X."* Compare X to the total outlet count in Item 20. If only a third of the system is being reported on, ask what the other two-thirds look like.

RED FLAG #3

Revenue, not profit

Most Item 19s show gross revenue. A franchise can do \$1M in revenue and lose money once royalties (4–10%), marketing fees (1–4%), rent, labor, COGS, and debt service come out. Revenue tells you the top of the funnel. Profit is the only number that matters.

What to ask: Does the FDD show any profit figure or "earnings before owner's compensation"? If not, why not?

RED FLAG #4

Limited geographic representation

"Average sales of franchisees operating in suburban markets with 50k+ population." Read this as: "We picked the markets that performed best." Rural locations or urban-core locations may look nothing like that average.

How to evaluate: Does the FPR cohort match the kind of market *you* would open in? If not, the number doesn't apply to you.

RED FLAG #5

Mean reported, median hidden

When a franchisor reports the average (mean) but not the median, the mean is almost always skewed by a few outsized performers. A clean disclosure shows both.

Pattern to watch: *"Average \$850K, median \$620K."* That tells you the top 20% are doing \$1.5M+ and pulling the average up. The typical experience is the median, not the mean. A 30%+ gap between the two is a yellow flag.

RED FLAG #6

No breakdown by franchisee tenure

"First-year franchisees averaged X" can be misleading. Early stores are often subsidized — by the franchisor's launch promotions, by founder-operator owners, by markets chosen for low competition. The numbers that tell you the truth are **franchisees with 3+ years in business**.

Look for: A cohort breakdown by years of operation.

RED FLAG #7

Vague footnotes

FDDs end every Item 19 with footnotes. Phrases like "*subject to certain assumptions*," "*may not reflect typical results*," and "*individual results will vary*" are standard. What matters is what else is buried in the footnotes — excluded territories, excluded years, excluded franchisees who closed.

Rule: Read every footnote. Twice. The deal is in the footnotes.

The honest take: *If a franchisor only shows you a cherry-picked slice of its franchisees, and the rest is buried in footnotes, that tells you what they think you'd find if you dug further. The system either earns or it doesn't. The cleanest Item 19s are the ones that show the full distribution — top quartile, median, bottom quartile — and let you decide.*

5 questions to ask current franchisees

How to find franchisees to call

Item 20 of the FDD lists every current franchisee, usually with name, location, and contact information. State law in most jurisdictions requires this. The franchisor must also include contact information for franchisees who *left* the system in the last 12 months — those are gold. Always call at least 5 to 10 franchisees, including 2 who exited.

Tell them you're considering buying a franchise and ask for 10 minutes. Most will give it. Franchisees who feel they were sold a story (good or bad) are usually eager to share their version of it.

QUESTION 1

"Did you hit the Item 19 numbers in your first two years?"

The simplest yes/no question in this entire process. If most franchisees say no, the Item 19 is aspirational. Pay attention to what they reference for the gap — bad location, slow ramp, higher labor costs, competing market.

QUESTION 2

"What does your monthly P&L look like? Walk me through revenue and biggest expenses."

Many will decline. Many will share if you're respectful and clear that you're not a competitor. Focus on royalty as a percentage of revenue, marketing fees, labor, COGS (if food), rent, and debt service. You want a real number for "what % of every dollar I take in actually comes home with me."

QUESTION 3

"What did the franchisor do that you didn't expect — good or bad?"

Surfaces the gap between sales pitch and operating reality. Common answers: mandatory POS or equipment upgrades after you've signed, marketing fee increases, supplier changes, new tech fees that didn't exist when you joined. None of these are necessarily deal-breakers, but they should not be surprises.

QUESTION 4

"Knowing what you know now — would you do it again?"

Direct, sometimes uncomfortable, very revealing. Pay attention to hesitation more than the answer itself. "Yeah, mostly" with a long pause means something different from a confident "yes."

QUESTION 5

"What do you wish you'd asked the franchisor before signing?"

This pulls their whole retrospective into one answer. It also saves you from making the same mistake they made. Almost every franchisee has at least one of these.

BONUS QUESTION — FOR FRANCHISEES WHO LEFT

"What's the actual reason you exited?" The FDD may say "*transferred*" or "*non-renewed*," but the real story is often unit economics that didn't work, a corporate dispute, or a personal-life event the franchisor wouldn't accommodate. The exit

data in Item 20 is what they're required to report. The franchisee can tell you what actually happened.

15 yes/no questions to answer before you sign

Use this as a literal checklist. If you cannot honestly check every box, do not sign yet — either keep doing diligence or walk away. A franchise is a 10-year commitment minimum. The few weeks it takes to answer these honestly are the cheapest weeks of the deal.

Financial preparation

- ☐ I have 6+ months of personal living expenses saved separately from my franchise investment.
- ☐ My total liquid net worth is at least 1.5× the maximum initial investment listed in Item 7.
- ☐ I've stress-tested my finances against the franchisor's worst-case Item 19 numbers (not just averages).
- ☐ I understand royalty as a percentage of *revenue*, not profit (8% royalty + 2% marketing = 10% off the top forever).
- ☐ I've calculated my breakeven monthly revenue including realistic labor, rent, royalties, marketing, and debt service.

FDD due diligence

- ☐ I've read Items 5, 6, 7, 19, 20, and 21 in their entirety (not summaries).
- ☐ I've called at least 5 current franchisees and 2 former franchisees.
- ☐ I've verified the franchisor's bankruptcy history in Item 4.
- ☐ I've read the franchise agreement in the exhibits and noted what is — and isn't — negotiable.
- ☐ I understand the renewal terms, transfer restrictions, and post-termination obligations.

Operational reality

- ☐ I've spent at least 8 hours observing operations at 2–3 existing locations.
- ☐ I've talked with my future suppliers if any are designated by the franchisor (Item 8).
- ☐ I understand the territory protection (or lack of it) in my agreement.
- ☐ I know what happens if the franchisor goes bankrupt or is acquired.
- ☐ I have a franchise attorney reviewing the agreement before I sign.

The rule: *If you can't honestly check all 15, do not sign. The buyer's remorse cost of a bad franchise — usually 5–7 figures and 3–10 years of your life — is much larger than the cost of being slow.*

Glossary of FDD terms

Every word in an FDD has a specific legal meaning. These are the ones that matter most. For a deeper version of any term, see our methodology page or the brand-specific page on FranchiseDepth.com.

Franchise Disclosure Document (FDD)

The federally required document a franchisor must deliver to a prospective franchisee at least 14 days before any commitment. 23 standardized items.

Item 19 / Financial Performance Representation (FPR)

The optional section where a franchisor discloses what franchisees actually earn. If included, must be substantiated by evidence the franchisor will share on request.

Item 20

Outlets and franchisee information — opens, closures, transfers, non-renewals, and terminations by year, plus contact info for current and recently-departed franchisees.

Initial Investment Range (Item 7)

Total estimated cost to open including franchise fee, equipment, real estate or build-out, opening inventory, training, and working capital for the first 3 months. Always read the high number, not the low.

Royalty

Percentage of gross sales paid to the franchisor on a recurring basis (usually monthly or weekly). Typically 4–12% across industries. Paid on revenue, not profit.

Marketing Fee / Ad Fund / Brand Fund

Additional recurring percentage for system-wide advertising. Typically 1–4%. Stacks on top of royalty.

Cure Period

The window of time you have to fix a franchise agreement violation before the franchisor can terminate you. Length and triggers are in the agreement.

Right of First Refusal (ROFR)

The franchisor's right to buy your franchise back at the same price an outside buyer offers, before that buyer can complete the purchase. Common; reduces the price of your eventual exit.

Territory

The geographic area in which you have exclusive rights to operate — or, increasingly often, in which you have *no* exclusivity. Read this clause carefully.

Renewal Terms

Conditions for extending the franchise after the initial term ends. Usually includes a renewal fee, a current-form-of-agreement requirement (you sign whatever they're using then, not your original terms), and remodel/upgrade obligations.

Transfer Fee

The fee you pay to the franchisor when you sell your franchise. Often 3–6% of the sale price. Separate from the ROFR.

Post-Termination Non-Compete

Restriction on operating a similar business after your franchise ends. Typically 1–3 years and a defined geographic radius. Often the most-negotiated clause in the agreement.

System-Wide Standards

The franchisor's right to dictate how you operate — sometimes including required suppliers, hours, technology, menu, uniforms, and remodel schedules. The breadth of this clause is the breadth of your independence.

Discovery Day

In-person meeting at franchisor HQ before signing. A major decision point. Treat it as a two-way evaluation, not a sales pitch you're attending.

Where to go deeper

Brand-specific data on 120+ franchises: franchisedepth.com

Our methodology and source citations: franchisedepth.com/methodology

Compare two franchises side-by-side: franchisedepth.com/compare

Using this checklist alongside the site

This checklist is the framework. FranchiseDepth.com is the data. Together they're the fastest way to evaluate a franchise without paying for a consultant.

If you're researching a specific brand

Look it up directly. We've extracted Items 5, 6, 7, 19, and 20 for 120+ brands from real, recently-filed FDDs — including the prestige brands buyers actually search for: Subway, McDonald's, Dunkin', Domino's, Planet Fitness, UPS Store, RE/MAX, and more.

franchisedepth.com/franchise/brand-name

If you're comparing options

Use the side-by-side comparison tool. Pick 2 or 3 brands and see fees, royalty, total investment, outlet trends, and Item 19 disclosure status on the same screen.

franchisedepth.com/compare

If you're earlier in the search

Browse by industry — food, fitness, home services, real estate, hospitality — and filter the full brand list by your budget. The homepage has a budget slider built in.

franchisedepth.com/industries

If you want deeper reads

Our guides cover the financial math (breakeven, ROI walk-forward), the legal architecture (what's negotiable, Discovery Day), and the structural patterns (Item 7, 19, 20 in detail).

franchisedepth.com/guides

Found this useful?

Forward it to anyone you know who is considering a franchise. There's no watermark for personal sharing, and no sales pitch attached. The more people who go into franchise ownership with eyes open, the better the industry gets.

Need to talk to a real expert?

A franchise attorney for legal review of any FDD is \$500–\$2,500 — money very well spent before signing. A franchise consultant (independent, not a broker on commission from the franchisor) is helpful if you're early-stage and weighing multiple options. We don't take referral fees from either; if you reply to this email and tell us what you're looking at, we'll point you toward resources we trust.

FranchiseDepth.com — Real data from real FDDs

Questions? Reply to this email or visit franchisedepth.com/contact